

CHAPTER 2

THE FAMILY

The modern “family” won’t work for our purposes. That is, you can’t reconcile the need for a very long-term wealth strategy with a moveable, flexible family—at least, not usually. . . .

An example: We know several couples that never got married, but nevertheless lived together for years and had children. The children grew up and moved on and, in almost all cases we know of, the parents then decided to move on, too. In all cases that we know, this caused financial, as well as emotional havoc.

Of course, there are all sorts of “households” today. Alternative lifestyle couples. Groups of friends. Remarried parents with stepchildren from various marriages.

There was a belief common in the 1980s and 1990s that you didn’t need to marry at all. People expected friends to fill the roles typically played by spouses, in-laws, and children. Popular TV shows illustrated for us how much fun it would be to live with friends, rather than with family.

A critique of lifestyle choices is far beyond the scope of this book, but as far as we know, the only likely way to build and retain wealth through more than one generation is with a traditional family. Friends tend to be transitory. Casual relationships, love affairs, and friendships come and go.

Family relationships, however, tend to endure—for better or for worse.

You might say that the real secret to a family fortune is permanence—or at least as much permanence as is possible in this transitory life. Many things are beyond our control. It is not possible, for example, to live forever. Nor can we control the world of politics or the weather. We just have to adapt to them, such as they are. But we know what we want: permanent relationships . . . permanent strategies . . . permanent culture . . . permanent wealth.